

FARMOUT AGREEMENT

This Farmout Agreement is made August 1, 2025 between Pecos Valley Land Company ("Farmor") and Mesa Verde Resources, LP ("Farmee").

Recitals

Farmor owns the oil and gas leasehold covering Township 22 South, Range 28 East, N.M.P.M., Section 9: N/2, Eddy County, New Mexico (320.00 acres), and Farmee desires to earn an assignment by drilling.

Earning Well

Farmee shall, at its sole cost and risk, commence the Earning Well on or before December 31, 2025 and drill it with due diligence to a depth sufficient to test the Bone Spring formation, or to 11,500 feet, whichever is shallower (casing point).

Earned Acreage and Assignment

Upon completion of the Earning Well as a well capable of production, Farmor shall assign to Farmee the leasehold as to the spacing unit for the Earning Well, insofar as it covers from the surface to the base of the Bone Spring formation.

Reserved Override and Back-In

Farmor reserves an overriding royalty of 3.5%, convertible at Farmor's election after Payout to a 25% working interest (a back-in), bearing its proportionate share of costs thereafter.

Continuous Drilling

Farmee may earn additional acreage by conducting continuous drilling operations with no more than 120 days between the completion of one well and the spudding of the next.

FARMOR: Pecos Valley Land Company

FARMEE: Mesa Verde Resources, LP